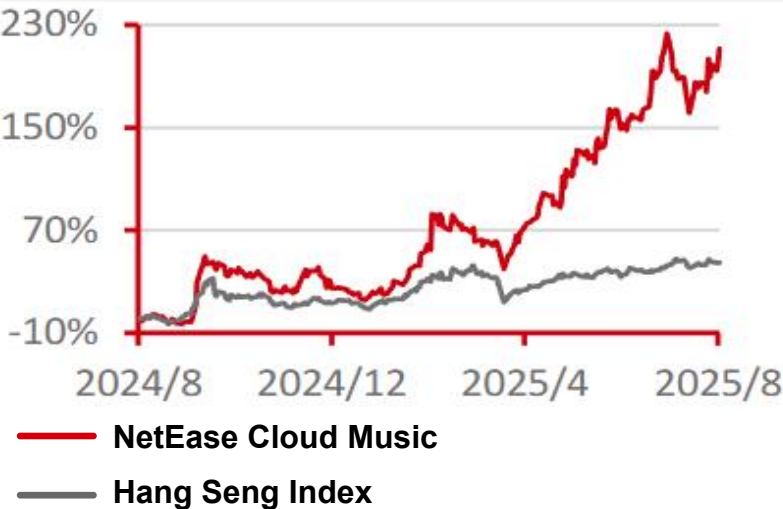


NetEase Cloud Music (SEHK:9899) H1 2025 Financial Results Update

Core Financial Highlights

Total Revenue	¥3.83 billion (-6.0% YoY)
Net Profit	¥1.88 billion (+132.4% YoY)
Adjusted Net Profit	¥1.95 billion (+121.0% YoY)
Operating Profit	¥844.5 million (+40.8% YoY)

Relative stock price movement



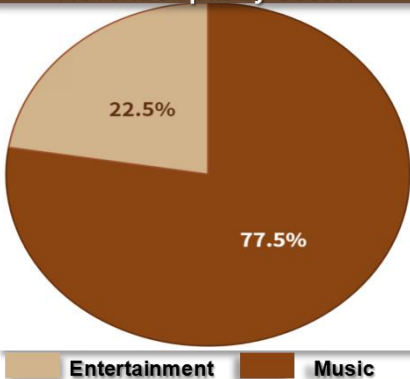
Driven by Cost Optimization and Margin Expansion

- ➔ Driven by cost optimization and tax benefits.
- ➔ Reflecting strong operational profitability.
- ➔ With gross margin improving to 36.4% (+1.4pp YoY).



Sales/marketing expenses reduced by 55.8% YoY to ¥1.63 billion

Revenue split by sector



Strategic Focus

- Redirected resources to prioritize enhancing user experience and enriching membership benefits (such as exclusive album drops, offline concert access, and ad-free high-fidelity streaming), which effectively boosted the paid user conversion rate.
- Competed with Tencent Music Entertainment (TME) — which reported online music revenue of ¥12.6 billion and 124 million paid users in the same period — through community-driven differentiation. This included fostering musician-fan interaction features, cultivating niche genre communities (e.g., indie rock, anime soundtracks), and launching user-generated playlist contests to carve out a distinct market position centered on cultural resonance.

Business Segment Performance

Segment	H1 2025 Revenue	YoY Growth	Key Drivers
Online Music Services	¥2.97 billion	+15.9%	Membership subscriptions (¥2.47B, +15.2% YoY)
Social Entertainment	¥859 million	-43.1%	Strategic contraction to focus on core music

RESULTS

Online subscription revenue has grown steadily, and the effective control of costs and expenses has significantly driven up the adjusted operating profit.

Sources

- **NetEase Cloud Music's (SEHK:9899) official interim financial reports for H1 2025.**
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- **【国联民生证券-2025研报】网易云音乐（09899）多元内容生态价值凸显，年轻社区生态构建壁垒;2025-08-21**
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